Time News · ABC News
Digest of 25 October 2026

Western Sydney International Airport opens for business

> Sydney's second airport opens today, Sunday 25 October, with a Jetstar flight to the Gold Coast. It is a decades-long infrastructure project designed to expand the city's aviation capacity.

WHAT HAPPENED

- The first commercial flight is Jetstar **JQ362** to the Gold Coast at 11am on Sunday. Air New Zealand's first international flight, to Auckland, leaves on Monday.
- The airport is **curfew-free** and runs 24 hours a day, easing peak capacity limits at Kingsford Smith Airport.
- Penrith's mayor says outer Western Sydney already produces about **A$59b** of economic output a year.
- ABC reports travellers are weighing up the cost and time of getting to the new airport.

BY THE NUMBERS

24 hrs
curfew-free operating hours

JQ362
the first commercial flight, to the Gold Coast

A$59b
annual output of outer Western Sydney

2nd
Sydney's second major airport

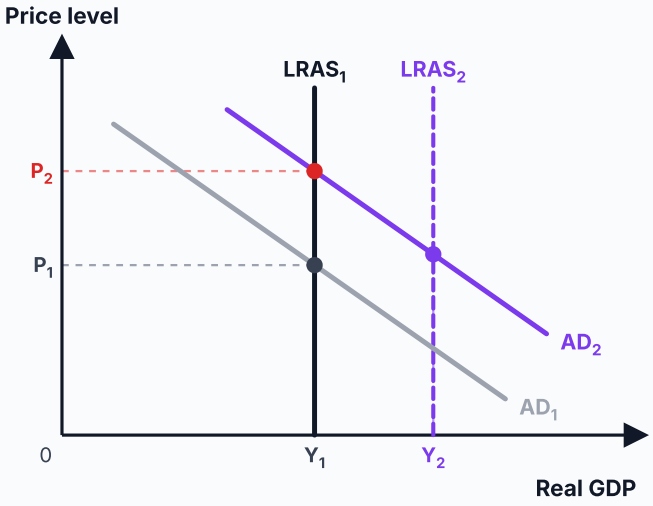
KEY TERMS

Microeconomic reform: policies that improve how efficiently markets and industries work.

Infrastructure: the transport, energy and communications networks the economy runs on.

LRAS: the economy's productive capacity at full employment.

DIAGRAM — Infrastructure expands productive capacity



When demand outruns capacity (**AD_1 to AD_2** against a fixed **$LRAS_1$**), the main result is higher prices (**P_1 to P_2**).

New infrastructure such as a curfew-free airport adds capacity and shifts **$LRAS_1$ to $LRAS_2$**, so output can grow from **Y_1 to Y_2** without adding to inflation.

Exam angle: supply-side policies work with a **long time lag** and are costly, but they ease the inflation–growth trade-off that monetary policy alone cannot solve.

FLOW CHART — From runway to productivity

New airport capacity → Less congestion, more competition → Lower travel and freight costs → Higher productivity → **LRAS shifts right**

SYLLABUS LINK

TOPIC 4: microeconomic policies. Infrastructure investment, competition, productivity and long-run aggregate supply.

TRY THIS

Explain how investment in infrastructure can improve productivity and long-term economic growth. **(4 MARKS)**

Articles: Time News, 'Western Sydney International Airport opens after decades of planning', Oct 2026 — https://time.news/western-sydney-international-airport-opens-after-decades-of-planning/ · ABC News, 'Travellers weigh up the cost to get to Sydney's new airport', 21 Oct 2026 — https://www.abc.net.au/news/2026-10-21/nsw-travel-western-sydney-international-airport-flight-savings/106785424

Figures as reported at time of writing. Diagrams are illustrative, not to scale.